NHB - OFFICIAL REGULATORY DIRECTION
NHB Supervisory Circular on Dual Valuation of Residential Collateral

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Chapter 1: Operational Compliance Guidelines (DOC_010)

Chapter 2: Operational Compliance Guidelines (DOC_010)

Section 6: Dual Independent Valuation Threshold for High-Value Mortgages

6.1 THRESHOLD FOR TWO INDEPENDENT VALUATION REPORTS

For all housing and Loan Against Property (LAP) exposures where the sanctioned credit facility is Rs. 50 lakh or above, the lending institution shall obtain at least two independent valuation reports from empanelled external technical valuers registered with IBBI.

6.2 CONSERVATIVE VALUE ADOPTION RULE

Where the two independent realisable value estimates differ by less than 15 percent, the lower of the two valuations shall be adopted for computing the Loan-to-Value (LTV) ratio. If the variance exceeds 15 percent, a third review valuation by an internal senior civil engineer is mandatory prior to disbursement.

Chapter 4: Operational Compliance Guidelines (DOC_010)